YOUNG INVESTORS SOCIETY

Traders@SMU – Long Short Equity Sector

Audrey Haynes

Sunrun Inc. (RUN)

March 25, 2026

Energy (Solar)
Symbol: RUN
Recommendation: SHORT

Headquarters: San Francisco, CA USA
Current Price: $12.75

COMPANY STATISTICS	
Market Cap ($ Bn):	$2.87
Enterprise Value ($ Bn):	$16.82
Trailing P/E:	7.15
Forward P/E:	12.35
Enterprise Value/Revenue:	5.69
Enterprise Value/EBITDA:	30.80

Source: Disney CSR Report

Company Overview

Sunrun is the largest residential solar installation company in the United States, specializing in rooftop photovoltaic systems and home energy storage solutions. Founded in 2007 and headquartered in San Francisco, the company operates a distributed solar generation model that focuses on installing and maintaining solar systems for homeowners while selling electricity to customers under long-term contracts. Unlike traditional solar equipment manufacturers, Sunrun's core business revolves around solar leasing and power purchase agreements. Under this model, the company installs solar systems at little or no upfront cost to the homeowner and recovers its investment through monthly electricity payments over contracts that typically last 20 to 25 years. While this approach lowers the barrier to entry for customers, it requires Sunrun to finance a large portion of the upfront installation costs. Sunrun has also expanded into energy storage through battery solutions that allow homeowners to store excess solar energy and use it during peak electricity demand periods or power outages. The company's financial performance is closely tied to regulatory policies that influence the economics of rooftop solar. Government incentives such as tax credits, renewable energy subsidies, and net-metering policies have historically played a major role in driving residential solar adoption. Changes to these policies—such as the reduction in net-metering compensation under California's NEM 3.0-can significantly alter installation demand and project economics. Sunrun also faces strong competition within the residential solar market from both independent installers and vertically integrated energy companies.

INVESTMENT THESIS

Sunrun's business model depends heavily on government incentives and favorable regulatory frameworks. Recent policy changes and macroeconomic conditions suggest a less supportive environment for the company's growth outlook. One of the most significant regulatory developments impacting Sunrun is California's Net Energy Metering reform (NEM 3.0). Under previous rules, homeowners with rooftop solar could sell excess electricity back to the grid at relatively high retail electricity rates. However, NEM 3.0 substantially reduced these compensation rates for exported electricity, significantly lowering the financial return for households installing solar-only systems. Because California historically represented one of the largest residential solar markets in the United States, the policy change materially affects demand for rooftop installations. Analysts widely expect the regulation to extend the payback period of solar systems and reduce installation growth in the state. This regulatory shift comes at a time when higher interest rates are already reducing demand for financed solar installations. Rising borrowing costs increase Sunrun's cost of capital and reduce the economic attractiveness of solar leases for customers. Financial data reinforces these concerns. Sunrun shares have experienced significant volatility, with analysts projecting a potential 13% decline in revenue over the next 12 months and a return to negative earnings per share. Additionally, earnings forecasts indicate that quarterly EPS could decline by more than 140%, reflecting weaker installation growth and pressure on margins. Although the company reported strong revenue growth in recent quarters, management signaled a more defensive posture for 2026 and plans to reduce its affiliate network by roughly 40%, suggesting slower installation growth and potential contraction in the residential solar market.